had been weakening since 2012 and that the shock of the sharp decline in oil prices from late 2014 into 2015 exerted the more significant impact. Russia is the world's second-largest oil producer and relies on oil export earnings to provide 40–50 percent of the federal budget. Further, living standards have sharply declined, and the economy went into a recession (less severe than 2009), while still suffering from a serious structural slowdown. Yet Russia is resilient. Clifford Gaddy and Barry Ickes aptly describe Russia as "the cockroach of economies—primitive and inelegant in many respects but possessing a remarkable ability to survive in the most adverse and varying conditions."[138]

According to Kudrin and other economists, sanctions exacerbate but are not the root cause of why Russia's economic structure "is not up to modern challenges"; these are traced to weak growth drivers and a financial system that is encumbered by various liabilities and is not increasing investment.[139] Even the IMF staff disagreed with the Obama administration's extremely negative outlook, noting in its 2016 country report that "Russia has a floating exchange rate, large official foreign exchange reserves, a positive net international investment position of about 20 percent of GDP, and a current account surplus. In addition, . . . public sector debt is low, financing needs moderate, and . . . the National Wealth Fund (NWF) . . . could be used as an alternative to finance the deficit."[140] Moreover, despite EU sanctions, which Moscow countered with reciprocal sanctions on European agricultural exports, Russian still accounts for about one-quarter to one-third of Europe's energy imports. Volumes in Gazprom's biggest market have held relatively constant; exports to European markets outside the former Soviet Union were 158 bcm in 2015, compared to 154 bcm in 2005.[141]

In comparison to the 1990s, Putin has ensured that Russia has no significant sovereign debt either to foreign governments or to international institutions. As discussed in Chapter 3, Russia avoided a severe balance of payments and banking crisis and depletion of Russia's reserves by allowing the ruble to float, keeping credit markets open, and buying back foreign exchange debt cheaply. Sanctions have taken their toll, especially in slowing needed new investments and debt rollovers in the energy sector, costing Russia its Investment Grade rating (as of March 2017 a Ba1 stable with Moody's), creating uncertainty about the viability of future